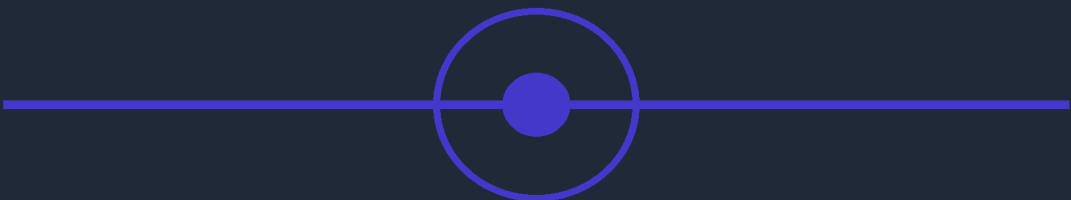


EU AI ACT COMPLIANCE TOOLKIT

*Ensuring AI Compliance in the EU: A Straightforward
Approach*



GALAXY FORGE PRESS

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Important Note: Not Legal Advice

This toolkit is a practical implementation guide, not legal advice. It does not constitute the provision of legal services, and reading it does not create an attorney-client relationship. EU AI Act obligations depend on your specific AI system, its risk classification, and your role (provider, deployer, importer, or distributor) -- factors this toolkit cannot assess for your exact situation. Before making final compliance decisions, engage a qualified lawyer or compliance professional licensed in your jurisdiction. Statements in this toolkit describing what organizations "must" do describe the general obligations set out in the EU AI Act as of August 2026; they are not a substitute for a professional legal assessment of your specific system and circumstances.

Introduction

The European Union's Artificial Intelligence Act (EU AI Act) has sparked significant interest and concern among businesses deploying AI systems within the EU. With the EU AI Act's transparency rules already in force and the high-risk-system deadline now set for December 2027, it's essential for small to medium-sized enterprises (SMEs) to understand their obligations and implement the necessary measures to ensure compliance. This comprehensive toolkit serves as a practical guide to navigating the EU AI Act, focusing on the key aspects and regulations affecting SMEs deploying AI systems.

Reference: Key EU AI Act Deadlines & Enforcement Timeline

IMPORTANT UPDATE (verified 2026-08-06): the timeline below reflects the EU AI Act as amended by the Digital Omnibus on AI, not the Act's original 2024 timeline. If you have read older material claiming high-risk obligations were fully enforced on August 2, 2026, that claim is now out of date -- read this chapter, not that one.

The EU AI Act (Regulation (EU) 2024/1689) entered into force on August 1, 2024. In 2026, EU negotiators reached a provisional agreement on a Digital Omnibus on AI that pushed back several deadlines -- the single most important fact for anyone using this toolkit to understand before anything else.

What is genuinely in effect right now (as of August 2026): Article 50 transparency obligations -- interactive AI systems (chatbots) must disclose they are AI, not human; deepfakes and AI-generated content must carry machine-readable disclosure marks. The European Commission's AI Office began actively enforcing these specific rules on August 2, 2026, confirmed directly in the Commission's own official announcement. If your AI system is user-facing or generates synthetic content, this obligation applies to you today, not on some future date.

What is coming soon: watermarking obligations for certain AI-generated content shift to December 2, 2026 -- about four months from this toolkit's publication date. If this applies to your system, real, near-term work is needed.

What has been deferred, and by how much: the high-risk AI system obligations this toolkit spends most of its pages on -- risk classification, Annex IV technical documentation, conformity assessment, human oversight, audit-readiness -- were originally due August 2, 2026 for standalone Annex III systems. Under the Digital Omnibus agreement, that deadline moves to

December 2, 2027, a real 16-month deferral. High-risk AI systems embedded in already-regulated products (Annex I, e.g. medical devices, machinery) move from August 2, 2027 to August 2, 2028.

A real, disclosed caveat: as of this toolkit's publication, the Digital Omnibus amendments were provisionally agreed but pending final, formal adoption and Official Journal publication -- a real procedural step, not a certainty until it happens. Confirm the current, live status before treating any specific date here as final for your own compliance planning; this is a fast-moving regulatory area, and this toolkit's real limitation is that it reflects a snapshot, not a live feed.

Why the deferral does not mean "wait": sixteen months sounds like a long runway, and it is real. It is also not indefinite, and the SMEs that start risk classification and documentation work now -- rather than in month fourteen of sixteen -- are the ones who will not be scrambling when the real deadline arrives. Getting ahead of a known, dated deadline early is a genuine competitive and compliance advantage; the case for starting now is real, it is just no longer "the deadline already passed."

Reference: Glossary of Key EU AI Act Terms

****Provider**** -- the organization that develops an AI system (or has one developed) and places it on the EU market under its own name, whether or not it also deploys the system itself.

****Deployer**** -- the organization that uses an AI system in a professional capacity, without necessarily having developed it. Many SMEs are deployers of AI systems built by others, not providers -- this distinction changes which obligations apply to you.

****High-risk AI system**** -- an AI system falling into one of the specific use-case categories listed in Annex III of the Act (including employment/worker management, access to essential services, credit scoring, and law-enforcement-adjacent uses), or one used as a safety component in a product already regulated under EU product-safety law.

****General-Purpose AI (GPAI) model**** -- a foundation model trained to perform a wide range of tasks, capable of being integrated into many different downstream applications, subject to its own distinct set of transparency and governance obligations separate from the high-risk system rules.

****Conformity assessment**** -- the formal process of verifying that a high-risk AI system meets the Act's requirements before it is placed on the market, completed either through self-assessment or, for certain categories, through an independent notified body.

****Notified body**** -- an independent, officially designated organization authorized to carry out third-party conformity assessments for specific categories of high-risk AI systems.

****Technical documentation (Annex IV)**** -- the formal, detailed record a provider must maintain describing an AI system's design, development

process, risk management measures, and performance -- the primary evidence used in both self-assessment and third-party conformity assessment.

****Human oversight**** -- a design and operational requirement that a high-risk AI system can be effectively monitored and, when necessary, overridden by a human during its use, not merely a policy statement.

****Post-market monitoring**** -- the provider's ongoing obligation to track a high-risk AI system's real-world performance after deployment, including a defined process for reporting serious incidents to the relevant authority.

This glossary covers the terms used most often in this toolkit. It is not exhaustive -- the Act itself (Article 3) contains the complete, authoritative set of defined terms, and this glossary should not be treated as a substitute for reading the relevant provisions directly when precision matters for your specific situation.

CHAPTER 1: AI System Risk Classification - A Decision-Tree Checklist

Identifying the risk level of your AI system is a critical step in complying with the EU AI Act. Here's a real decision-tree checklist to help you classify your AI system:

1. Does the AI system rely on real-time data feeding or processing? - No: Proceed to step 2. - Yes: Proceed to step 3.
2. Does the AI system interact with the physical environment, such as control systems, robotics, or physical agents? - No: Proceed to step 4. - Yes: High-risk AI system.
3. Does the AI system have direct or indirect significant adverse impact on individuals, businesses, or the environment? - No: Proceed to step 4. - Yes: High-risk AI system.
4. Does the AI system involve significant autonomy, creativity, or adaptability? - No: Proceed to step 5. - Yes: High-risk AI system.
5. Is the AI system used for high-stakes tasks, including healthcare, education, finance, public services, or critical infrastructure? - No: Low-risk AI system. - Yes: High-risk AI system.

For high-risk AI systems, proceed with Annex III conformity assessment procedures. For limited-risk AI systems, continue with transparency and disclosure obligations.

CHAPTER 2: Technical Documentation Requirements Under Annex IV

Annex IV of the EU AI Act outlines the technical documentation requirements for AI systems. Ensure your documentation includes the following:

1. Detailed system architecture diagrams
 2. Data flows and processing descriptions
 3. Model explanations (for transparent AI systems)
 4. Data quality and validation procedures
 5. Training data sources and sampling methods
 6. Performance metrics and evaluation criteria
 7. Regular maintenance schedules and update procedures
-

CHAPTER 3: Conformity Assessment Procedures Step-by-Step

To ensure high-risk AI system conformity, follow these steps:

1. Identify high-risk categories (Annex III, Part A) - autonomy, creativity, adaptability, real-time data, physical interaction, significant adverse impact, or autonomy. 2. Gather supporting evidence - technical documentation, testing, and validation records. 3. Select a conformity assessment procedure: self-assessment, third-party auditing, or notified body assessment. 4. Prepare for and undergo the selected assessment procedure. 5. Receive the conformity assessment outcome (CE marking) for high-risk AI systems.

CHAPTER 4: Human Oversight Design Requirements

To ensure AI system accountability, implement robust oversight mechanisms:

1. Establish human oversight teams for high-risk AI systems.
 2. Define decision-making responsibilities and boundaries.
 3. Specify monitoring and corrective action procedures.
 4. Ensure continuous training and upskilling for oversight teams.
 5. Regularly review and refine oversight mechanisms.
-

CHAPTER 5: Data Governance and Quality Management Obligations

EU AI Act requires data governance and quality management to ensure AI systems produce trustworthy outputs:

1. Establish clear data quality standards and procedures.
2. Develop data validation and sampling methods.
3. Implement continuous data monitoring and maintenance.
4. Ensure transparent data processing and retention schedules.
5. Regularly review and refine data governance and quality management frameworks.

CHAPTER 6: Transparency and Disclosure Obligations for Limited-Risk Systems

To maintain transparency and user trust for limited-risk systems:

1. Implement transparent system explanations (model explanations).
 2. Provide user interface for system insights and feedback.
 3. Offer choices and alternatives for users (opt-out options).
 4. Continuously update and refine system transparency.
 5. Maintain detailed record-keeping for transparency documentation.
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CHAPTER 7: Post-Market Monitoring and Serious-Incident Reporting Procedures

Implement post-market monitoring to ensure AI system performance and detect potential issues:

1. Establish monitoring and incident reporting procedures.
2. Define reporting thresholds and incident severity.
3. Designate responsible parties for reporting and monitoring.
4. Implement continuous performance evaluation and improvement.
5. Regularly review and refine monitoring and reporting procedures.

CHAPTER 8: General-Purpose AI Model Obligations

EU AI Act imposes specific requirements for general-purpose AI models:

1. Prohibit the use of high-risk general-purpose AI models.
2. Ensure transparency in model design, training, and deployment.
3. Implement model-specific governance and quality management.
4. Maintain detailed records of model performance and usage.
5. Regularly review and refine general-purpose AI model obligations.

CHAPTER 9: Audit-Readiness Checklist Mapped to Annex III High-Risk Categories

To ensure audit-readiness, focus on the following:

- Annex III, Part A, category 1: Autonomy - System documentation and test plans - Human oversight and accountability plans - Annex III, Part A, category 2: Creativity and adaptability - Data sampling and validation methods - Model explanation and system documentation - Annex III, Part A, category 3: Real-time data and physical interaction - Technical architecture and system diagrams - Monitoring and incident reporting procedures - Annex III, Part A, category 4: Significant adverse impact - Data validation and quality management procedures - Human oversight teams and reporting thresholds

CHAPTER 10: Governance/Policy Template Outline

Develop a comprehensive governance and policy framework:

1. Establish clear AI governance structures and policies.
2. Define roles and responsibilities for AI officer and DPO.
3. Outline AI system development and deployment processes.
4. Specify human oversight and accountability procedures.
5. Regularly review and update the governance and policy framework.

CHAPTER 11: Technical Documentation Template Outline

Develop a technical documentation framework:

1. System architecture diagrams and technical documentation.
 2. Model explanations and explanations of reasoning.
 3. Technical performance metrics and evaluation criteria.
 4. Human oversight and accountability plans.
 5. Regularly review and update technical documentation.
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CHAPTER 12: Risk Assessment Template Outline

Conduct a thorough risk assessment:

1. Identify and categorize AI risks (Annex III, Part A). 2. Develop risk management plans for each category. 3. Assign risk management responsibilities and timelines. 4. Regularly review and update risk assessments and management plans. 5. Document and maintain detailed risk assessment records.

CHAPTER 13: Roles and Responsibilities (AI Officer, DPO Coordination)

Clarify roles and responsibilities for AI deployment:

1. Define AI officer duties and responsibilities.
 2. Designate the primary DPO (Data Protection Officer) for AI systems.
 3. Establish effective coordination and communication channels.
 4. Regularly review and update roles and responsibilities documentation.
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CHAPTER 14: Vendor/Third-Party AI System Due Diligence Checklist

Evaluate vendors and third-party AI systems:

1. Conduct thorough vendor research and risk assessments.
 2. Review vendor documentation and technical specifications.
 3. Evaluate data quality and validation procedures.
 4. Assess vendor transparency and accountability.
 5. Regularly review and update vendor evaluations and contracts.
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CHAPTER 15: 90-Day Implementation Roadmap for SMEs

Develop a realistic implementation roadmap:

1. Prioritize EU AI Act requirements and deadlines.
 2. Assign implementation tasks and responsibilities.
 3. Schedule training and workshops for employees and stakeholders.
 4. Regularly review and update project timelines and progress.
 5. Maintain detailed project documentation and records.
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CHAPTER 16: Common Compliance Mistakes and How to Avoid Them

Avoid common pitfalls and mistakes:

1. Inadequate risk assessments and management plans.
 2. Poor data governance and quality management.
 3. Insufficient transparency and disclosure obligations.
 4. Ineffective human oversight and accountability.
 5. Lack of documentation and record-keeping.
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CHAPTER 17: Penalty Exposure and How Classification Affects It

Understand the impact of AI system classification on penalties:

1. High-risk AI systems in Annex I and II have stricter penalties.
2. Limited-risk AI systems in Annex III, Part B are subject to lower penalties.
3. Compliance non-conformity results in penalties regardless of AI system classification.
4. Continuous non-compliance escalates penalties.
5. Establishing a robust compliance framework and implementing EU AI Act requirements can mitigate penalties.

CHAPTER 18: How to Prepare for a Notified Body Engagement

Prepare for notified body assessment:

1. Select a suitable notified body for conformity assessment.
2. Ensure technical documentation compliance with Annex III.
3. Designate responsible parties for notified body interactions.
4. Prepare for and undergo the notified body assessment process.
5. Maintain detailed records of notified body interaction and findings.

CHAPTER 19: Ensuring Compliance as a Small to Medium-Sized Enterprise (SME)

Adopt a straightforward approach to maintain EU AI Act compliance as an SME:

1. Focus on high-risk categories and Annex III requirements.
 2. Develop clear governance and policy frameworks.
 3. Maintain detailed records and documentation.
 4. Regularly review and update compliance frameworks.
 5. Collaborate with the AI industry for best practices and support.
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Conclusion

By utilizing this comprehensive toolkit, SMEs deploying AI systems can ensure compliance with the EU AI Act. Regularly reviewing and updating compliance frameworks, maintaining detailed records, and collaborating with industry experts will help SMEs meet the real December 2027 high-risk-system deadline with real runway to spare.

Frequently Asked Questions

****Do I need to comply if my AI system is not one I built myself?**** Yes, if you deploy it in a professional capacity in the EU. The Act applies to deployers as well as providers -- your obligations differ from a provider's, but they are real. See the Roles and Responsibilities chapter for the specific distinction.

****What happens if I have not classified my AI system's risk level yet?**** Start there before anything else in this toolkit. Every other chapter -- documentation, conformity assessment, audit readiness -- depends on knowing which category your system falls into. An unclassified system is the single biggest real compliance gap this toolkit sees most often.

****Can I self-certify, or do I need a notified body?**** It depends on your system's specific high-risk category. Some categories under Annex III permit self-certification; others require third-party conformity assessment. The Conformity Assessment chapters in this toolkit walk through both paths.

****Is a small team a valid reason to wait until closer to the deadline?**** No -- the Act does not have a small-business exemption from high-risk system obligations, though some administrative simplifications exist for SMEs in specific areas, and the December 2027 deadline (see the Deadlines chapter) gives real runway. A small team is exactly the reason to start the 90-day implementation roadmap in this toolkit early, not a reason to wait -- less capacity to compress the work later if it is left until month fourteen of sixteen.

****What is the real cost of getting this wrong?**** Once high-risk system obligations take effect (December 2, 2027 for standalone Annex III systems, per the Deadlines chapter), penalties for non-compliance can reach up to EUR 35 million or 7% of global annual turnover, whichever is higher, for the most serious violations. Less severe violations carry proportionally lower penalties. These are not current exposure today -- they are the real reason to use the runway between now and the deadline well, with the risk-classification step as the highest-leverage place to start.

****Does this toolkit replace the need for legal counsel?**** No. See the disclaimer at the front of this toolkit. This is a practical starting point that makes your eventual conversation with a qualified lawyer or compliance professional faster and better-informed -- not a substitute for that conversation.
